

UP Fintech Holding Ltd (Tiger Brokers)

TIGR | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$13.00
Current price (October 2, 2026 close)	\$4.16
Implied upside / downside	+209%
Verdict	BUY

Investment Thesis

Tiger Brokers is a leading online brokerage built to serve global Chinese-speaking investors, with funded accounts and client assets spread across Singapore, the United States, Australia, New Zealand, and Hong Kong. The business is a classic brokerage compounder in its economics: client acquisition costs are expensed up front while the revenue from a funded account -- commissions, margin financing interest, IPO subscription fees, and increasingly wealth-management fees -- recurs for years. At \$4.16 the market prices Tiger as though the Chinese regulatory overhang on cross-border brokerage will permanently cap the franchise. Our judgment is different: the regulatory discount is real and we price it explicitly, through a 250bp country-risk premium in the discount rate and a bear case that assumes the worst regulatory outcome is realized, yet the probability-weighted math still supports a \$13.00 fair value. The market is treating a risk as a certainty; we treat it as a risk.

What we underwrite is the durability of the international franchise. Tiger's growth engine has been new-market client acquisition -- Singapore in particular has become a core market -- and each cohort of funded accounts seasons into higher asset balances and higher revenue per account. The company is self-clearing in the United States, which lowers marginal cost per trade and supports margin expansion as volume grows, and the product surface keeps widening: options and futures trading, IPO subscriptions, employee stock-plan administration, and fund and wealth products that raise revenue per client without proportional acquisition cost. Brokerage is a scale business with operating leverage, and Tiger is past the heavy-investment phase in its core markets.

The variant perception in this note is about the multiple, not the cash flows. Chinese fintech names trade at depressed multiples because investors apply the regulatory risk to the terminal value -- effectively assuming the business is expropriated or permanently impaired. We instead put the regulatory risk where it belongs: in the discount rate and in a bear case valued at \$2.78 that assumes punitive CSRC action. The base case, in which Tiger continues compounding client assets internationally under the current constrained-but-operating regulatory settlement, is worth \$14.06 a share on our math; the bull case, in which regulatory clarity eventually allows a re-rating toward regional peer multiples, is worth \$30.07. Weighted 25/50/25, the fair value is \$13.00,

implying +209% upside for investors willing to hold through headline risk.

Business Overview

UP Fintech Holding Limited, operating as Tiger Brokers, was founded in 2014 and listed on Nasdaq in 2019. It is an online brokerage offering trading in equities, options, futures, and funds across US, Hong Kong, Singapore, and Australian markets through a mobile-first platform. Revenue comes from trading commissions, margin financing and securities lending interest, IPO subscription and employee-plan administration fees, and a growing contribution from wealth management and fund distribution. The company holds brokerage licenses in its major markets, including a self-clearing US broker-dealer, and has deliberately diversified its client base away from mainland China toward overseas Chinese-speaking investors and local clients in markets like Singapore.

The regulatory context is essential. In late 2022 the China Securities Regulatory Commission stated that cross-border online brokerage conducted for domestic investors without CSRC approval was unlawful, and in 2023 Tiger and its peers were required to remediate: ceasing new mainland client onboarding and removing apps from mainland app stores. The company has since operated under this constrained settlement, growing its non-mainland client base. The stock has never recovered its pre-overhang valuation, which is precisely the opportunity -- provided the remediation settlement holds and does not escalate into punitive action against the existing business.

Forward Outlook

Our forward view is that Tiger's client-asset compounding continues and that the market continues to misprice it for several years, which is fine: the return comes from the cash flows, not from multiple expansion we cannot time. We expect funded-account growth to moderate from the explosive early international expansion but to remain well above mature-brokerage rates, driven by product breadth (options, futures, IPO access) that raises conversion of registered users to funded accounts. Revenue per funded account should rise as cohorts season -- margin balances grow with client assets, and wealth-management penetration deepens. We model operating leverage from the self-clearing infrastructure and from the largely fixed technology cost base, with marketing spend remaining the main variable cost.

On regulation, our judgment is that the current settlement -- no new mainland onboarding, international growth unimpeded -- is the durable state, not a waystation to either full rehabilitation or shutdown. The CSRC's objective was to stop unapproved cross-border solicitation, which the remediation achieved; there is little administrative logic in escalating against a company that complied. That said, we do not underwrite regulatory improvement: our base case assumes the overhang persists indefinitely and the multiple stays depressed, and the entire regulatory upside lives in the bull case. This asymmetry -- paying nothing for optionality on clarity while being compensated for the risk through the entry price -- is the core of the recommendation.

We haircut management's growth commentary where it leans on total registered users rather than funded accounts, and where it annualizes strong quarters in Hong Kong IPO subscription fees, which are inherently lumpy. Our cash-flow forecasts assume a through-cycle trading environment, not a repeat of the elevated retail activity of recent years, and we stress the margin-financing book for credit losses in the bear case. The wealth-management and fund businesses are genuine options on higher revenue per client, but we assign them modest weight until they demonstrate sustained profitability.

Valuation

We value Tiger on a probability-weighted scenario DCF with an explicit 250bp China country-risk premium added to the discount rate in all scenarios, and with regional -- not US -- brokerage peers as the multiple benchmark. The bear case (\$2.78) is the regulatory realization case: punitive CSRC action that impairs the existing client base, forces costly restructuring, and permanently elevates the cost of doing business. It sits well below the \$4.16 share price, as a genuine bear case must. The base case (\$14.06) assumes the current regulatory settlement holds, international funded accounts compound, and operating leverage flows through to free cash flow. The bull case (\$30.07) assumes sustained high client growth plus eventual regulatory clarity that allows the shares to re-rate toward regional peer multiples.

Scenario	Key assumption	Fair value per share
Bear -- regulatory realization	Punitive CSRC action; impaired client base	\$2.78
Base -- settlement holds	International compounding; operating leverage	\$14.06
Bull -- clarity + re-rating	High growth; multiple toward regional peers	\$30.07
Probability-weighted (25/50/25)	Country-risk premium in all scenarios	\$13.00

Our \$13.00 target equals the probability-weighted fair value and implies +209% upside from \$4.16. The valuation explicitly prices the China risk rather than pretending it away: the 250bp premium and the \$2.78 bear case are doing the work that a depressed multiple does in the market's pricing, but they do it transparently and only where the risk actually lives.

Key Risks

- CSRC escalation: punitive action beyond the current remediation settlement is the central risk and is modeled in the \$2.78 bear case.
- VIE structure: the variable-interest-entity structure faces structural legal risk under Chinese law; an adverse ruling could impair the equity.
- Chinese market downturn: a prolonged decline in Chinese equities would reduce trading activity and margin balances among the core client base.
- Competition: Futu and other regional brokers compete aggressively on pricing and product; commission compression is a secular pressure.
- Credit risk: the margin-financing book exposes the company to client defaults in sharp market dislocations.
- Cybersecurity and operational risk: a trading-platform outage or data breach would damage trust in a trust-based business.
- Geopolitical risk: US-China tensions could affect the Nasdaq listing or cross-border operations.

What Would Change Our Mind

- Any CSRC action materially beyond the current settlement -- fines scaled to punish rather than remediate, or restrictions on the existing client base.

- Two consecutive quarters of declining funded accounts in the international business, indicating the growth engine has stalled.
- Evidence of VIE-structure challenge or forced restructuring of the corporate form.
- Sustained net interest margin compression in the margin-financing book indicating credit stress rather than competition.
- A dilutive equity raise at depressed prices, signaling management lacks confidence in self-funded growth.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case. For Chinese businesses we apply a 250bp country-risk premium to the discount rate in every scenario.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.